

LNG Shipping - Quarterly Report Q3 2025

Oct 9, 2025

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Summary

The cautious optimism seen in Q2 faded into Q3, as spot rates hovered sideways through the quarter, reminding us that the LNG shipping market has a few hurdles to get past before Owners can comfortably lean back. In this flat freight environment, it is impossible not to draw comparison to the seasonality in past years (and historically), as the market typically tracks rapidly higher at this time of the year. This can be explained partly by the overhang of tonnage and partly by lack of trading inter-basin arbitrages.

For shipping, the bright spot of the quarter was another barrage of FIDs announced including CP2 (14mtpa), Port Arthur Phase 2 (12mtpa) and Rio Grande T4 (5.4mtpa). FLNGs were also in the spotlight, with Golar firming up their MkII FLNG unit for Argentina at 3.5mtpa and Coral North also reaching FID in early October. The total FID'ed liquefaction capacity in 2025 now stands at just shy of 80mtpa, which will start production in the 2027-2030 period. The combination of FIDs and SPAs is shaping up to result in a new wave of ordering activity, especially as charterers combine volume expansion with fleet replacements. We expect to see an increase in tendering activity on back of these FIDs, as the offtakers will need to act in 2026 to secure shipping capacity with timely delivery for their volumes towards the end of the decade.

While no new projects formally started up in Q3, we did see additional volumes out of Calcasieu Pass and Corpus Christi as well as Greater Tortue volumes continuing to ramp up together with LNG Canada. However, the most interesting "start-up" is Arctic LNG 2 which exported a total of 0.5mtpa during the quarter – heading for China in what appears to become a steady trade (based on the seven cargoes in Q3 and another one scheduled for delivery around mid-October). On the demand side, the most active buyers were Europe (Netherlands, France, Germany and Italy were notable at 30-60% Y-o-Y increases) and MENA (Egypt), while on the opposite side we see China and India breaking their growth trends seen for years. With 75% of the year in the books, China is down 16% to 48mt while India is down 7% to 19mt.

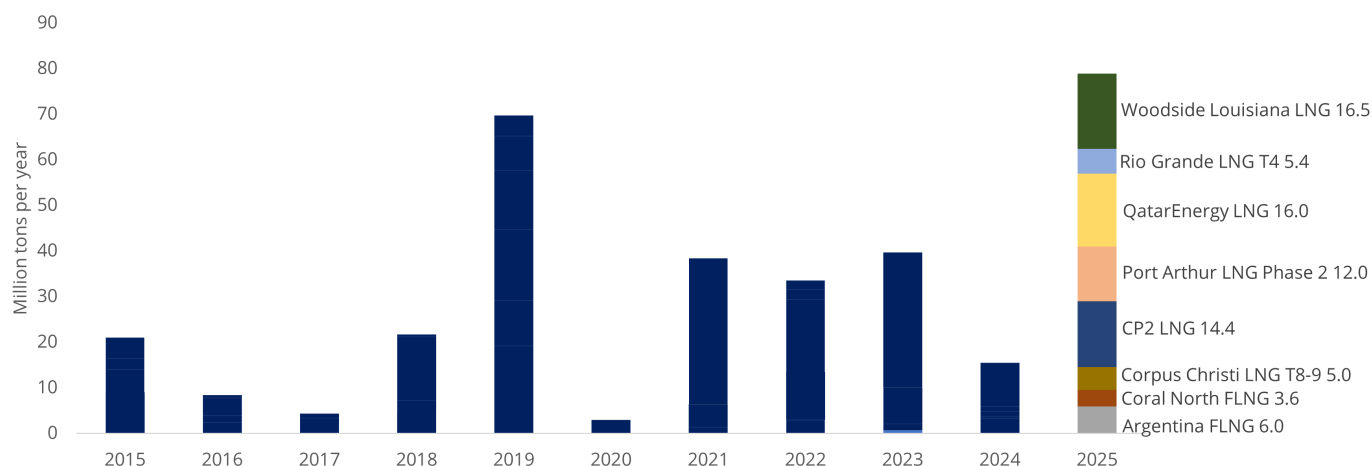
LNG prices across regions and between basins began the quarter with a tiny arbitrage potential, yet prices compressed in Aug-Sep with spreads between US-Asia in the US\$ 0.4-0.8/MMBtu-range and US-Europe in the US\$ 0.2-0.4/MMBtu range. More high-level; JKM traded in the range of US\$11-13/MMBtu while Europe traded around US\$ 11-12.5/MMBtu, not leaving much for Owners and traders alike. For the winter, it seems we'll need to rely on the weatherman to get some relief. European storage levels hit 82% at the end of the quarter, compared to 94-96% at the same time in 2022-2024, due to less stringent requirements for filling levels, so there is cautious optimism for LNG into Europe as withdrawals are starting to kick in. The continued focus on phasing out Russian LNG in Europe is additionally creating some potential for shipping demand if Yamal volumes were to start heading East, especially having to go Southwest around the Cape of Good Hope or through the Suez Canal.

Fixture activity in Q3 was a little subdued compared to the record-breaking first half of 2025 at just shy of 90 spot fixtures concluded. This is not caused by less volume or fewer ships on the water, but perhaps with thin trading margins some of the portfolio players and traders with excess tonnage have been more active in cargo purchases themselves. Multi-month activity was also lower Q-o-Q, as Owners and Charterers alike assess the near-term outlook and their resulting fixing strategies. On the positive side, we are seeing activity for long-term business, including for tonnage to cover the coming years as well as beyond the end of the decade, although pricing for the prompt years is challenging.

At the end of September, we counted 52 vessels delivered since the start of the year, suggesting 19 delivered in the quarter. The reality is that there are still another 48 to clear out the century of ships scheduled to hit the water in 2025. We see this as unrealistic to achieve and as such we expect 20-30 vessels to slip into 2026, both from a yard logistics perspective and delayed start-up of volumes and hence charters. Although ordering activity is still subdued at 15 vessels ordered to date, we did see an uptick in activity in Q3 with several European Owners lining up vessels for delivery in 2028-2029. The most notable order placed during the quarter was the Hanwha Shipping announcement of an order for the first pair of LNGCs to be built in the US since the 1970s at Philly Shipyard. It remains to be seen how much construction actually takes place within the US or, perhaps more accurately, what finishing touches can be applied in Philly for the vessels to qualify as "US-built"? Recycling activity is trucking along nicely, albeit at a slower pace than many market participants may have expected or preferred to see. A total of 12 vessels have been scrapped YTD at an average age of 25 years

and an average capacity of 138,000 cubic meters. Sellers have been predominantly Asian Owners with ships coming off long-term charters and a good understanding of what stop-loss means. While the number of ships sold for recycling ought to have been higher, we continue to see many steam turbine vessels marketed for sale with keen sellers. The challenge remains in finding buyers with a clear future for the vessel in question. The fleet now stands at 728 vessels with an estimated 26 vessels formally in layup; however, judging by sailing speeds and limited variations in draft, we count just north of 40 vessels effectively in a form of layup including a handful of TFDEs.

"FID me, baby, one more time!": Liquefaction FIDs hit historical highs in 2025



Source: S&P Global Platts

Charter Rates

The average spot rate for a two-stroke in Q3 ended at US\$ 34k/day, only marginally higher than Q2's US\$ 30k/day, yet still reflective of the weakening trend that has defined the market through 2025. After starting the quarter on relatively firm footing at around US\$ 43k/day in early July, rates steadily eroded, closing the quarter in the mid-US\$ 20ks/day range by late September, which is often when rates are surging upwards. A narrow East-West rate differential reappeared, with Pacific two-strokes averaging roughly US\$ 35k/day against US\$ 33k/day in the Atlantic, but this was more a reflection of relative weakness in the West than genuine strength in the East. Q3 emphasized the same imbalance that has plagued the market all year: too many ships chasing too few cargoes, with arbitrage economics and floating storage incentives largely absent.

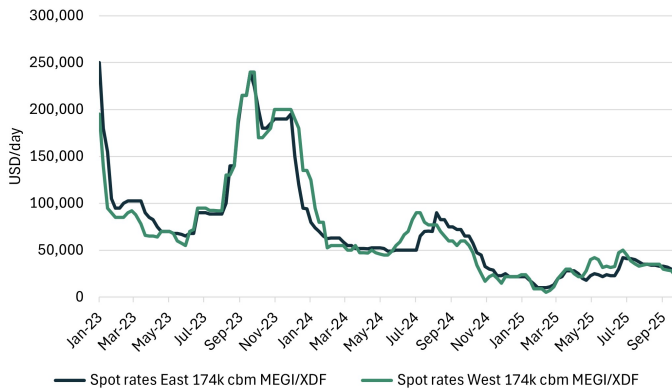
The abundance of idle tonnage and a slowdown in spot fixtures highlight the structural oversupply that continues to weigh on sentiment. With the forward market signaling little movement through the winter, any meaningful rebound before mid-2026 appears increasingly unlikely without a material shift in global LNG trade dynamics. The situation was even more discouraging for TFDE carriers, where average earnings dropped to around US\$ 20k/day, leaving many owners operating on a thin margin. Spot levels in both basins fell through the US\$ 20k/day threshold by late September, with some fixtures dipping to US\$ 12-14k/day, the lowest since early 2025. Steam turbine units remained effectively out of play, with the few reported fixtures struggling to achieve even US\$ 4k/day.

In the term market, activity was confined mainly to short-term employment (<90 days), as uncertainty over future demand and the plentiful spot market kept both sides cautious. A handful of one-year charters for two-stroke were reported in the high-US\$ 40ks/day, a modest uptick from levels earlier in the year but already softening toward the end of the quarter; a clear sign that the view on winter seasonality shifted down as the months progressed. The longer end of the curve remains illiquid, though the implied forward rates continue to hover around high-US\$ 60ks/day for years 2-3 and low-US\$ 80ks/day for years 6-7, suggesting that charterers still view today's weakness as an opportunity to lock in tonnage at discounted levels.

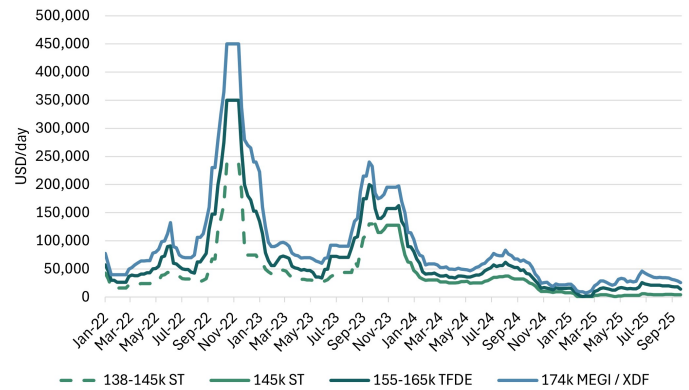
On the cost side, implied freight economics from the US Gulf Coast to Northwest Europe averaged between

US\$ 0.41–0.50/MMBtu, while deliveries to Northeast Asia (JKM) via the Panama or Cape routes were in the US\$ 1.12–1.29/MMBtu range. Floating storage remained uneconomical as weak rates and narrow spreads offered no incentive to hold cargoes at sea.

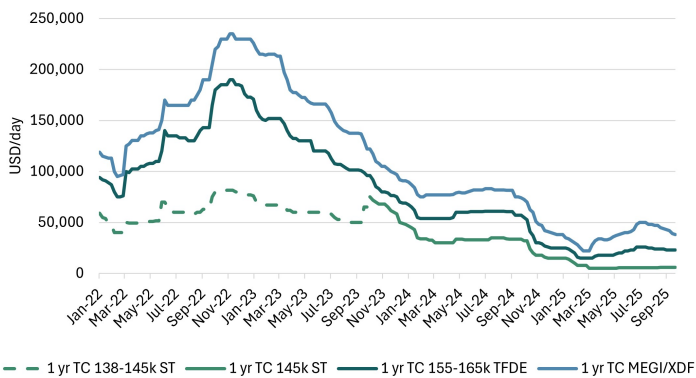
Two-stroke spot charter rates (East/West)



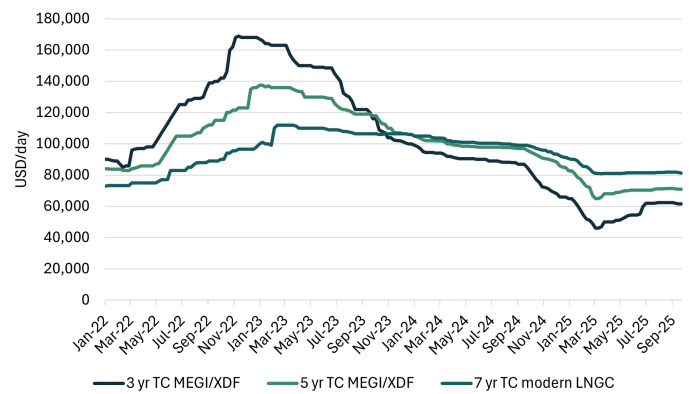
Average spot charter rates



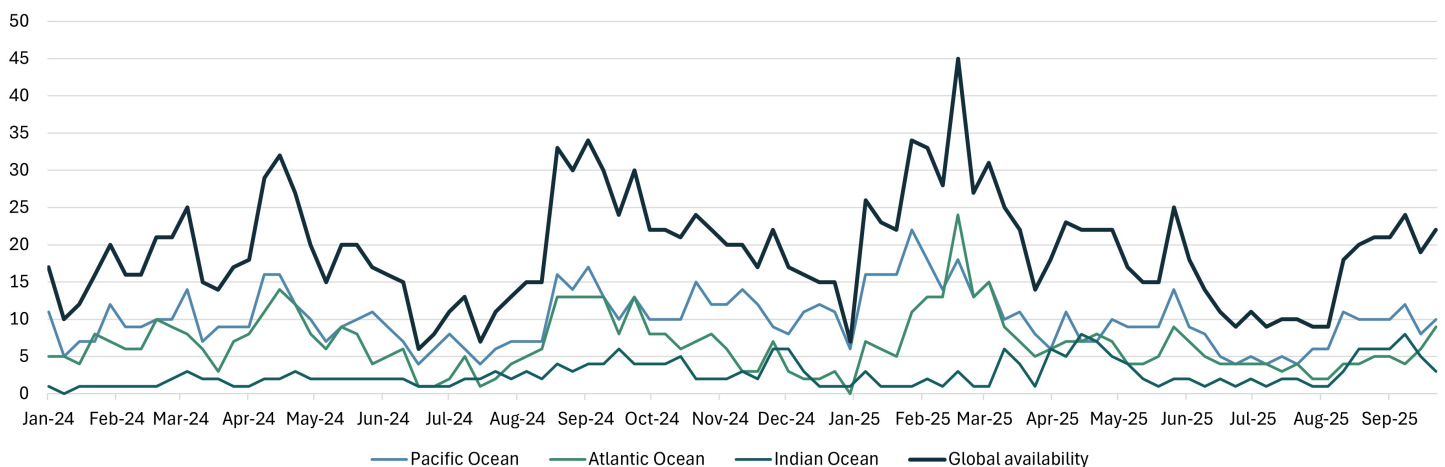
1-year charter rates



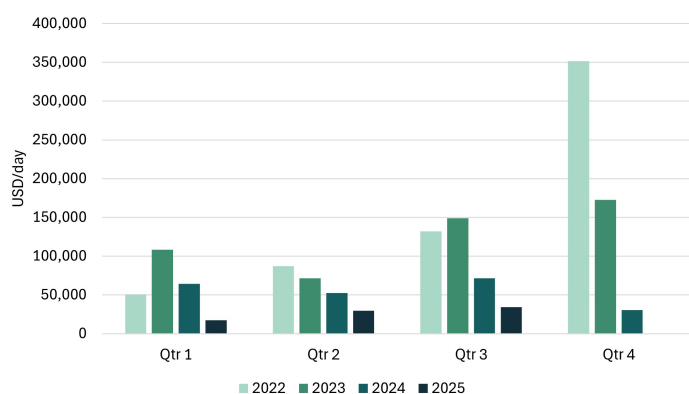
Term charter rates (two-stroke)



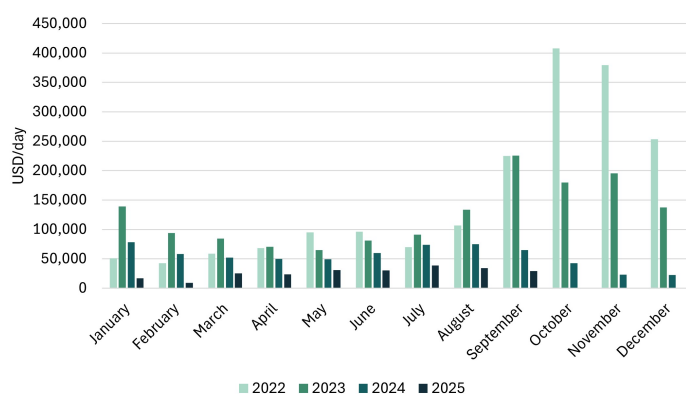
Prompt LNGC availability



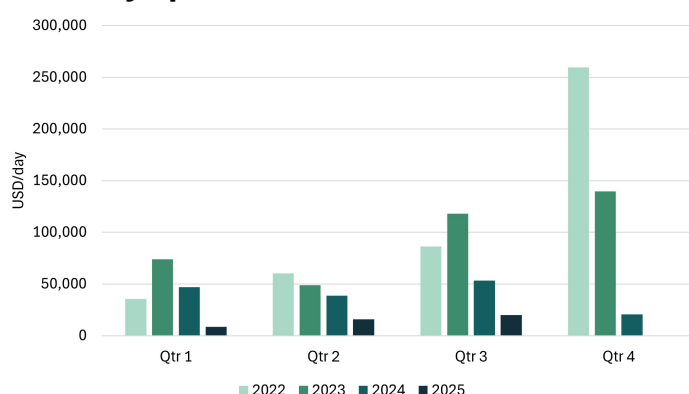
Quarterly spot charter rates (two-stroke)



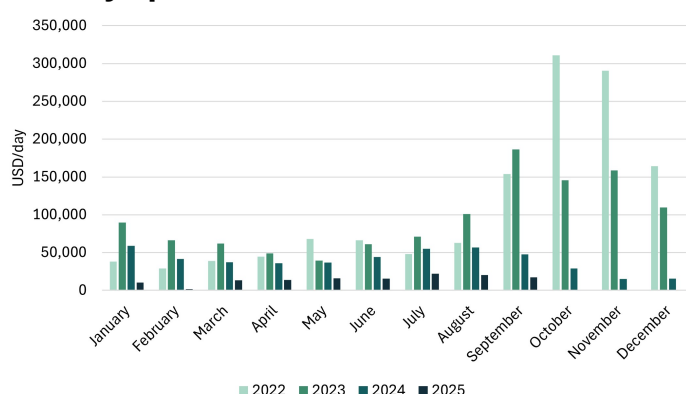
Monthly spot charter rates (two-stroke)



Quarterly spot charter rates (TFDE)



Monthly spot charter rates (TFDE)



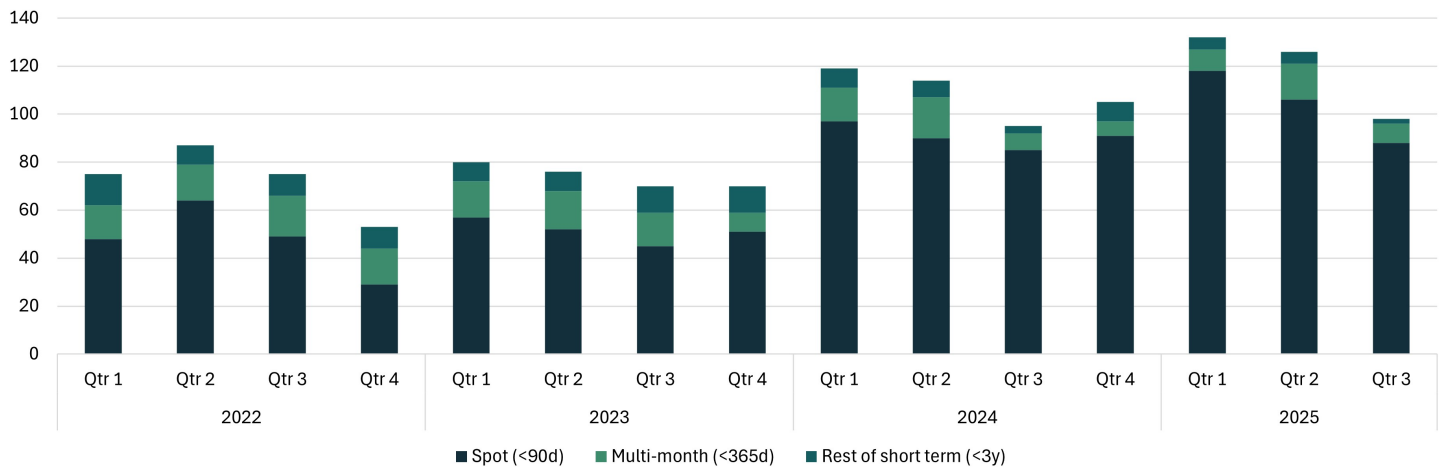
Chartering Activity

Although 2025 remains on track to break records for the number of fixtures, Q3 marked a softer phase in LNGC chartering activity, continuing the gradual slowdown observed since early in the year. The number of short-term fixtures (<90 days) declined to 88, down from Q2's near-record 108, yet broadly in line with the 85 fixtures recorded in Q3 2024. The average spot fixture duration slipped to 18 days in Q3 2025, down from 20 days a year earlier, signaling slightly faster vessel turnover and reduced voyage commitment amid softer market conditions.

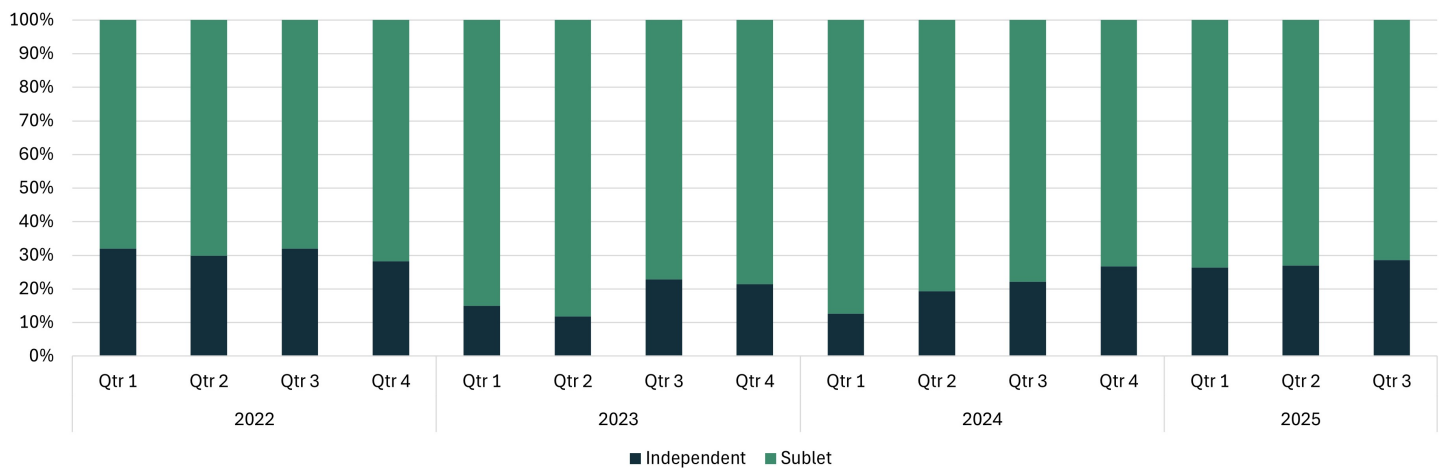
Multi-month (<365 days) activity also eased, with only eight fixtures concluded in Q3 marking a clear slowdown from earlier in the year, and the 1–3 year segment also remained subdued. Thin trading margins and an abundance of spot vessels allowed some leeway for charterers that may previously have taken winter tonnage so the market was constrained by wide bid-offer spread and limited forward visibility for trading. The average duration of multi-month charters shortened to around six months, down from just over seven months in Q3 2024, indicating that even longer-period deals are being structured with greater flexibility. This continued tilt toward shorter commitments highlights charterers' cautious approach amid uncertain winter demand and narrowing LNG price spreads.

From a structural perspective, independent fixtures accounted for just below 30% of total activity, with the rest driven by sublet deals – a pattern consistent across the past four quarters. The dominance of sublets illustrates the strong secondary market presence of portfolio players, who continue to reoptimize fleet allocation rather than commit to new long-term charters.

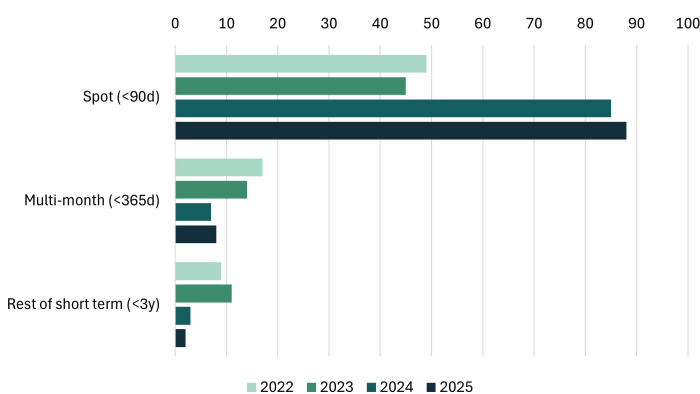
Short-term fixture activity (< 3 years)



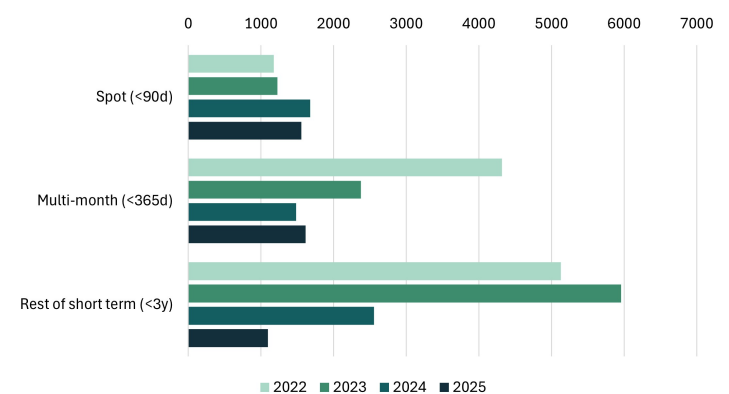
Short term fixtures by sublet vs independent owners



Short-term fixtures Q3 (count)



Short-term fixtures Q3 (fixed days)



Trade Flows

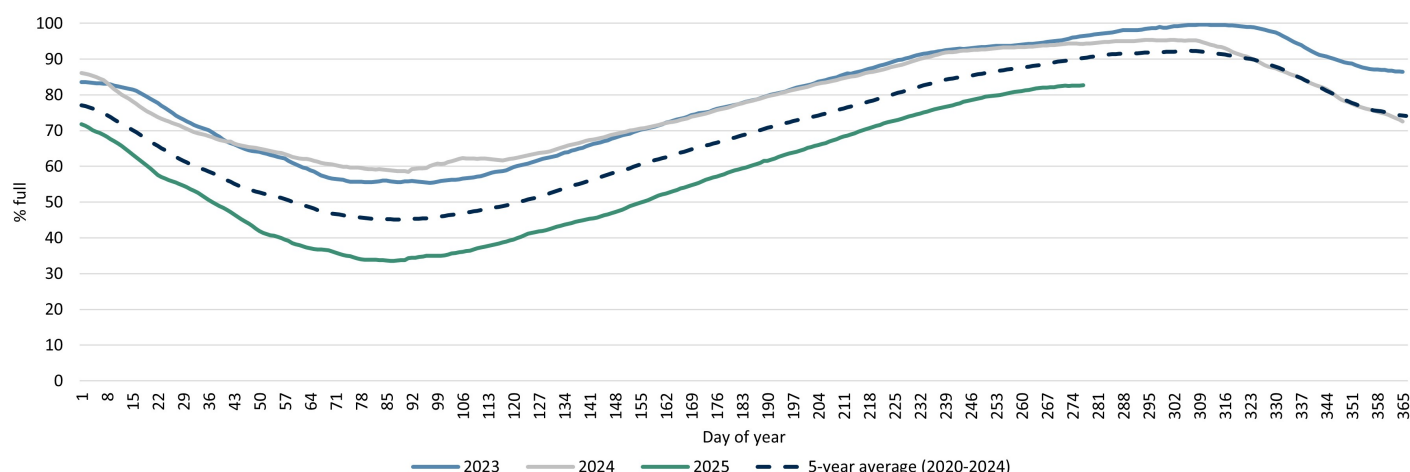
Global LNG loadings totalled 110 MT in Q3 2025, slightly above Q2 and up roughly 9 MT year-on-year, emphasizing continued strength in global supply despite regional maintenance outages. The United States, Qatar and Australia remained the top three exporters, collectively accounting for nearly two-thirds of global exports. U.S. volumes held firm at 27.6 MT, supported by sustained feed gas deliveries and incremental capacity at Calcasieu Pass and Plaquemines, while Qatar exported 20.5 MT, maintaining high utilization across its North Field operations. Australia's output stabilized near 20 MT, with expectations of renewed growth ahead of Darwin LNG's restart in October. Smaller but consistent contributions came from Russia, Malaysia, and Nigeria, with Canada's LNG Canada project shipping its first cargo in

June marking a new milestone for North American supply diversification.

On the import side, Asia continued to dominate global LNG demand, taking in 70 MT during the quarter, followed by Europe at 26 MT, with the Americas and Middle East & North Africa regions absorbing smaller but growing shares. Among individual buyers, China imported 17.9 MT, showing its first year-on-year growth since early 2024 as industrial restarts, extreme weather and expanding storage drove incremental demand. Japan and South Korea maintained strong intake levels of 15.8 MT and 12.3 MT respectively, underpinned by gas-for-coal switching and new contract deliveries. India's imports remained steady at 6.3 MT, reflecting a balance between high spot prices earlier in the year and strong monsoon-driven demand recovery. In Europe, Poland and Turkey stood out. Poland's volumes rose 34% year-on-year, while Turkey expanded its LNG portfolio through new SPAs and short-term contracts ahead of expiring Russian pipeline deals.

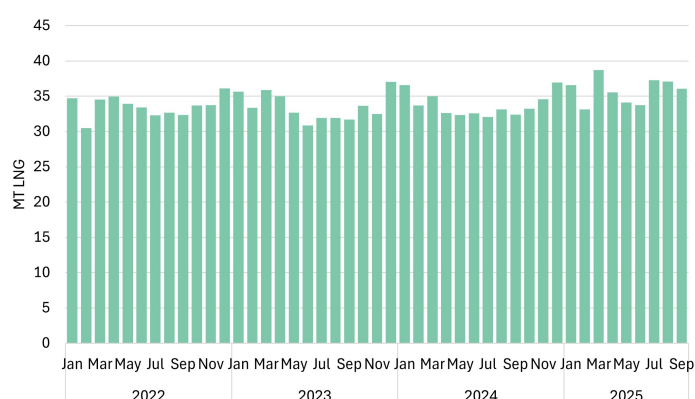
From a trade flow perspective, the share of U.S. LNG bound for Asia picked up modestly as long-haul shipments around the Cape of Good Hope increased, adding to tonne-mile demand, though the share remains below the highs seen in 2024. The Panama Canal continues to see limited LNG transits due to congestion and high tolls, reinforcing longer-haul patterns. Meanwhile, Qatar's flows to Asia stayed elevated, contributing to stable regional balances but limiting tonne-mile expansion globally. Two-stroke carriers continued to dominate long-haul loadings, extending their lead over TFDE and steam turbine tonnage as charterers prioritize efficiency and carbon compliance. The propulsion mix remains heavily skewed toward modern XDF/MEGI units, reflecting the ongoing fleet renewal cycle.

EU storage levels



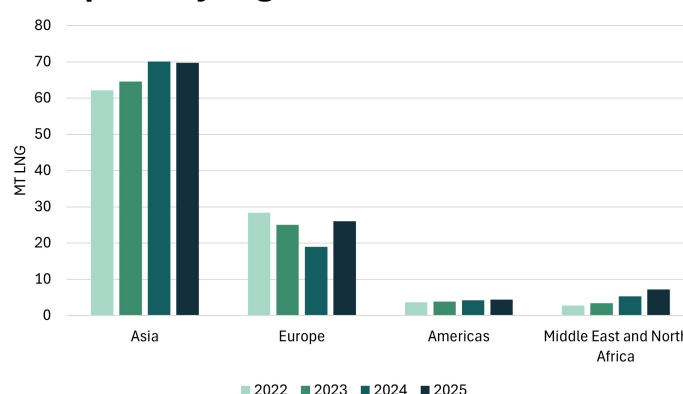
Source: AGSI

Loaded LNG



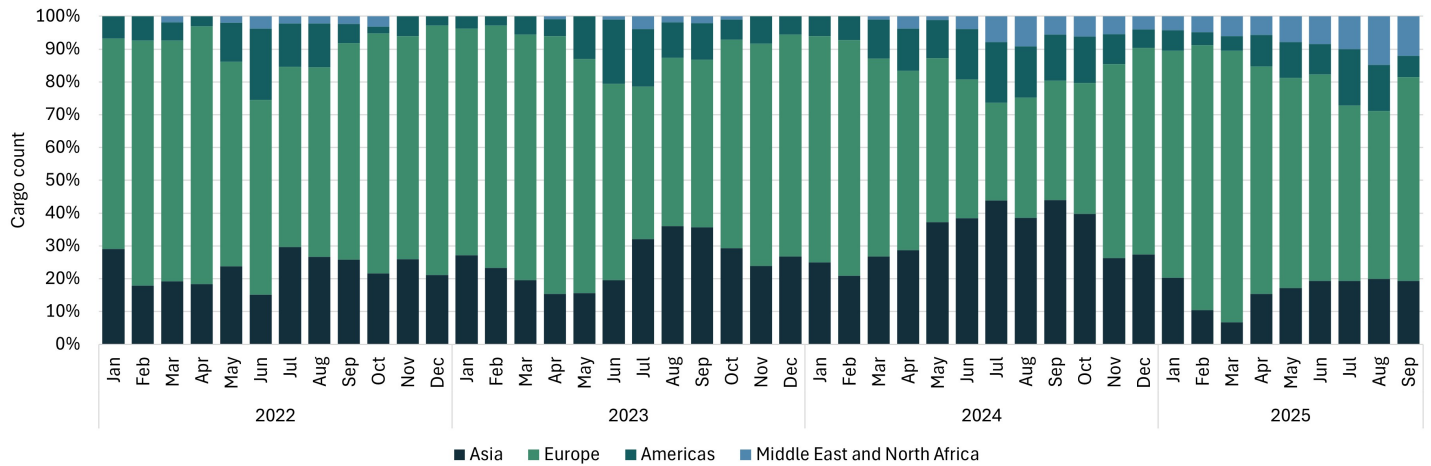
Source: Vortexa

Q3 imports by region



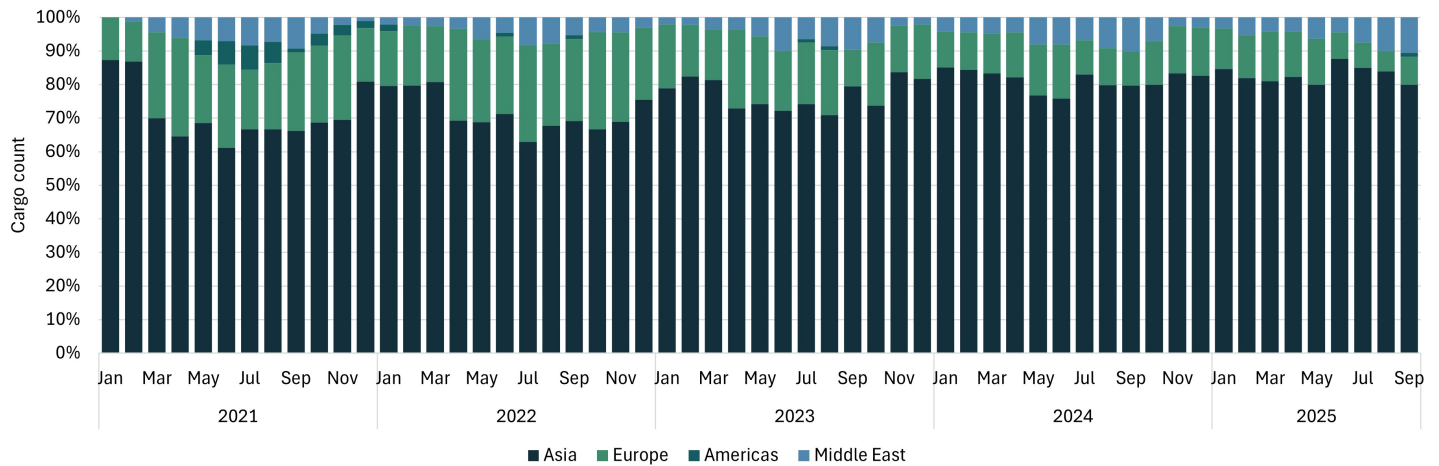


Destination of US LNG



Source: Vortexa

Destination of Qatar LNG

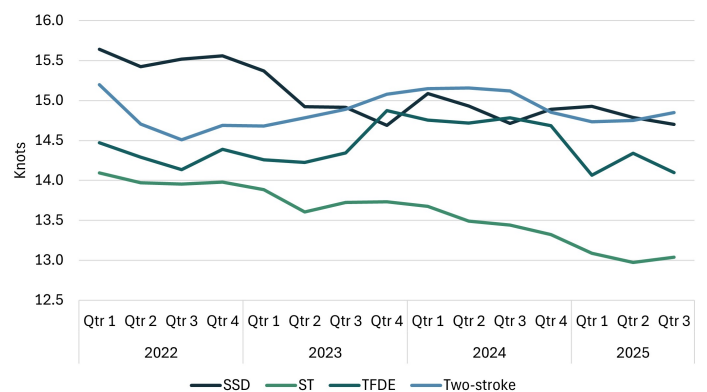


Source: Vortexa

Average fleet speed (speeds > 6 knots)



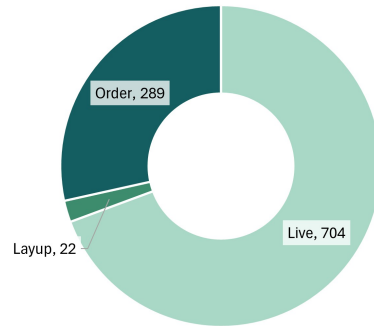
Average fleet speed by propulsion (speeds > 6 knots)



LNGC Fleet

The global LNGC fleet continued its expansion through Q3 2025. The fleet now counts 728 vessels on the water, of which 702 remain active and 26 are in layup. The surge of new-builds has ensured that 2025 remains on track to become the most delivery-heavy year in LNG shipping history. With 52 vessels already delivered year-to-date, the momentum shows little sign of easing although as noted, we do not expect all the vessels scheduled to delivery this year will actually hit the water. The growing dominance of modern two-stroke propulsion reflects a decisive industry pivot toward efficiency and emissions compliance; XDF and ME-GA designs now account for almost 90% of the active order-book.

LNGC fleet by status

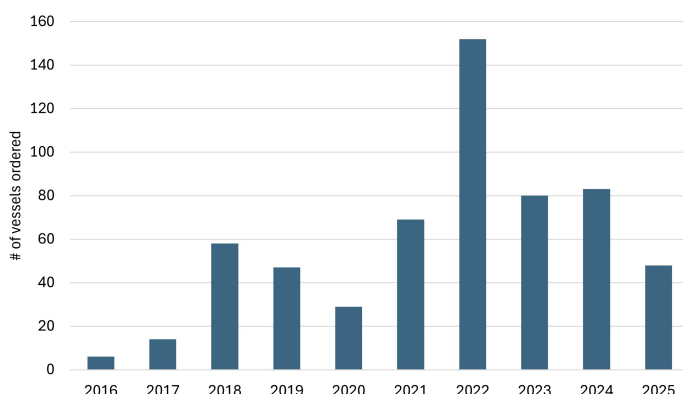


The orderbook itself stands at 289 vessels, or about 41% of the active fleet. However, ordering enthusiasm has cooled sharply, with only a few contracts placed this year and most of these connected to QatarEnergy's QC-Max program that now spans 24 vessels for delivery between 2028 and 2031. Outside this umbrella, owners have been wary of speculative orders amid high yard prices, tight slot availability, and prolonged freight weakness.

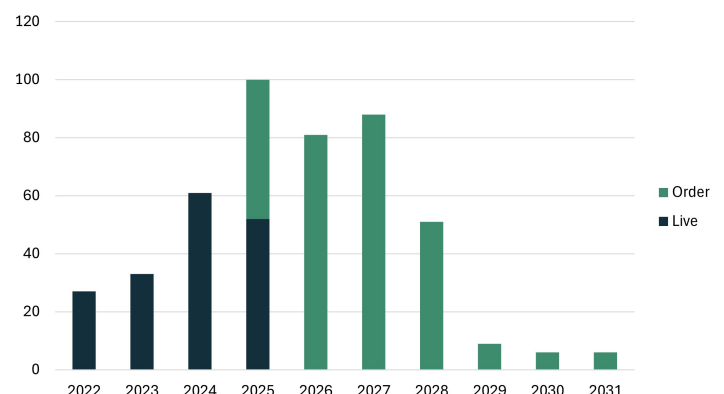
China has entrenched its position as a global shipbuilding powerhouse, with Hudong-Zhonghua, Dalian and China Merchants Jiangsu accounting for roughly one-third of all active LNGC orders. South Korean yards – Hanwha Ocean, Samsung, and Hyundai – continue to lead in technical sophistication, but full backlogs mean new contracts are being pushed into late-decade delivery windows. A notable development came from the United States, where Hanwha Ocean and Philly Shipyard announced the country's first LNG carrier order in nearly 50 years, signaling a potential revival of domestic shipbuilding capacity under the potential for U.S.-flag requirements.

While deliveries surge, the other end of the age curve is accelerating as well. Recycling activity has gained pace with 12 vessels sold for scrapping year-to-date, particularly among aging steam turbine and early DFDE tonnage, as market conditions are challenging for them. For many Owners, the decision is no longer about timing the market – it is about cutting losses. Average LNG carrier speeds edged lower in Q3 2025, settling at 14.3 knots, down from 14.5 knots a year earlier. The slowdown reflects both weaker market conditions and widespread adoption of eco-speed operations. Two-stroke vessels remained the fastest at about 14.8 knots, while TFDE and steam turbine units averaged 14.1 and 13 knots, underscoring their increasingly limited trading use. In today's oversupplied market, speed has become an economic choice, not a performance metric.

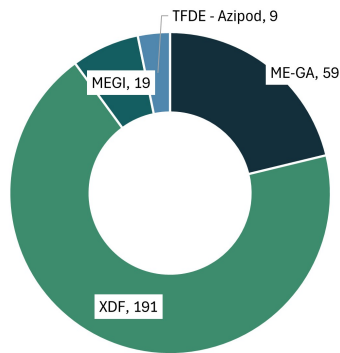
LNGC orders



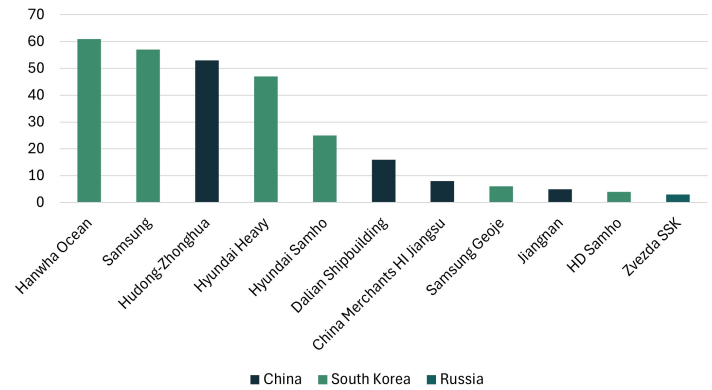
LNGC deliveries



Orderbook by propulsion



Orderbook by yard

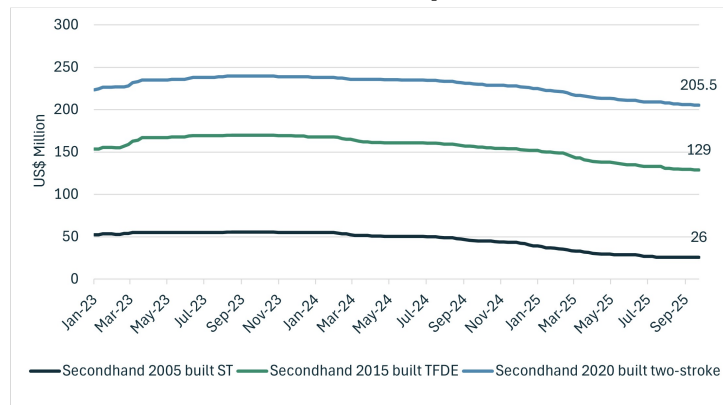


S&P activity in 2025 continues to be dominated by transactions involving older steam turbine tonnage, either for captive trades or players acquiring FSRU conversion candidates. Unfortunately, there are all too often reports of failed processes in which predominantly the buyers have been unable to come up with agreed elements of contract.

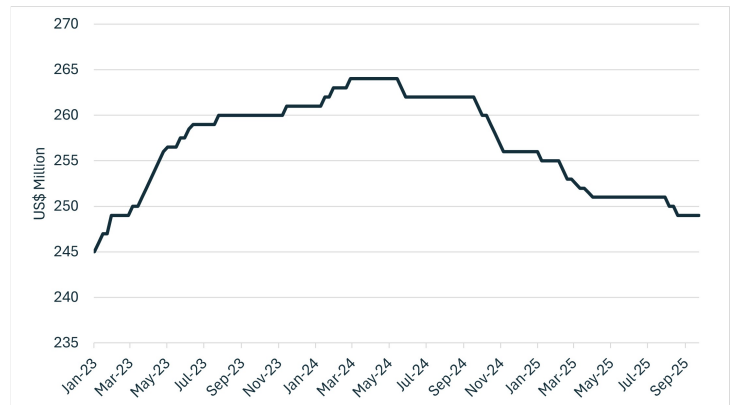
Asset values remain under pressure in the current market environment, but there is a sense of sliding lower rather than dropping fast. Older (20-yr range) steam turbine tonnage is assessed in the US\$ 20-30m range whereas 10yr old TFDEs hover around US\$ 120-140m, but with more sensitivity on size and age. In the modern tonnage segment, there are limited transactions to point to and hence values become more of a theoretical exercise.

Newbuild pricing has flattened out just shy of US\$ 250m with yards seemingly positive on order intake for the coming year. There are reports of Q2/28 deliveries being pushed to Q3/28 upon quote refresh, and at the moment marketed slots are prone to be H2/28 unless an Owner has options or other strong access with a particular yard.

Asset values: Secondhand prices



Asset values: Newbuild price (174kcbm 2-stroke)



Outlook

Our crystal ball still suggests that the LNG shipping market will remain under pressure until 2027, with 2026 flat-ish compared to 2025. While there is a lot of new liquefaction capacity arriving at high-pace over the next three years, so are new vessels. However, we are forming a more positive view on the medium-term given the plethora of FIDs concluded and more expected. The question then becomes whether Owners are willing to entertain Charterers alluring calls for newbuilds, and often the temptation of “just one more vessel” results in new orders. In the interim, Q3 is a good example of how a somewhat-static market leads to muted shipping, but as we have seen in the past we only need a little cold (or warm) weather or seasonality to shift trade flows and lift shipping. Add to this the continued uncertainty on geopolitical issues and it may well be that volatility is a closer friend than one would imagine.

The market is already getting some help from fleet phase out and recycling, but the pace and magnitude must pick up to make a real impact. Drydocking schedules in 2026 and 2027 will most certainly play a role here and with some 30 vessels heading for their 4th SS/DD over the next 12 months, Owners are facing decision time. We see that “25 is the new 35” when it comes to scrapping age, but given the earnings potential in spot and term for the steam turbine fleet it is not unreasonable to potentially see a further drop in age when vessels sail their last voyage.

High FID-activity in 2025 should be a long-term boon for the shipping market, and it should not be forgotten that the pace of supply of LNG is expected to lead to a decline in cost as an energy source, and thus make LNG increasingly competitive relative to other fuels. More – and cheaper – LNG will inevitably unlock end-user demand which in turn means tonne-miles. Through the past years of high (to very high) LNG prices, price-sensitivity has become highly apparent and with lower prices on the horizon this is a trend we should see turning into increased purchases. This demand is very likely to be most prevalent in India, the Indian subcontinent and Asia – far from the liquefaction FIDs – supporting shipping demand with increase inter-basin trade.

Fearnley LNG currently quotes 10-year charters in the mid-/high-80s range. Although this is expensive against the anticipated market conditions in the prompt years, further out these should be attractive levels for Charterers that are long cargo and who will want to secure shipping capacity before the market tightens. Although the cargo length may only appear in 2028-2030, some will see the timing to act as now prior to this freight market rebalancing starts to take effect.

While our outlook, as for the previous quarters, is reflective of a challenging “tomorrow” we maintain a clear position that “next week” will be better. The simple fact is that we see a very positive long-term structural role for LNG in the energy mix, and traded LNG could grow more than 50% by 2030 with the potential for even higher tonne-mile growth.



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